# Bloom Energy (BE)

Earnings Brief | 3Q26 | 23 October 2026 | Josh

**Post-call version (22 October 2026 call; transcripts via Motley Fool and Investing.com).** No knowledge base detected. Proceeding with web-retrieved documents only (SEC EDGAR 8-K, 10-Q; call transcripts). History covers 3Q25 to 3Q26 from filings; Q&A history covers 2Q26 and 3Q26 calls.

## 1 Executive snapshot

**Consensus thesis.** Investors own Bloom as the default supplier of fast, on-site, non-combustion power for AI data centers and pay about 42x FY27 consensus EPS for revenue doubling in FY26 and rising about 63% in FY27 at mid-30s margins.

**Thesis status: Intact. Versus expectations:** Quarter: beat (revenue $1,235.8mn vs $1.07bn consensus, +15%; non-GAAP EPS $0.94 vs $0.67). Outlook: above (FY26 revenue guide $4.4bn to $4.6bn vs $4.12bn consensus). Stock: closed $217.77 (-8.7%) on 22 October before the release, $206.49 (-5.2%) after hours, $209.80 pre-market on 23 October.

**Biggest changes**

- Third guide raise: FY26 revenue $4.4bn to $4.6bn (from $3.9bn to $4.2bn), non-GAAP operating income $960mn to $1,030mn, EPS $3.10 to $3.40; implied 4Q revenue $1.35bn to $1.55bn vs $1.21bn consensus.
- Clean margin stepped up: non-GAAP gross margin 34.5% with no material tariff recovery in the quarter, against 30.8% on a clean basis in 2Q26; product margin 38.4%.
- Growth now consumes cash: operating cash flow -$27.1mn and FCF -$180.6mn, as contract assets rose $430.3mn and inventory $170.4mn; net cash of about $137mn at 30 June became about $39mn of net debt.
- Concentration fell but shifted to the financier: the largest customer was 43% of revenue (73% in 2Q26), and a Brookfield related-party vehicle was 26%.
- Still no backlog number: RPO rose 49% to $661.2mn, but management deferred any backlog figure to 4Q guidance, and Jupiter was not mentioned on the call.

**Investor takeaway.** The consensus view holds and FY26 earnings power is higher than modelled (guide midpoints about 9% above revenue and 20% above EPS consensus), but growth is now financed by Bloom's own working capital, so the stock should be judged on cash conversion and a disclosed backlog rather than on revenue beats; credit quality holds for now on $2.5bn of cash and 0% notes, but the net-cash cushion is gone.

**What to monitor next quarter:** (1) 4Q26 operating cash flow of at least about $102mn (the CFO's '$375mn-plus' FY baseline) and conversion of $858.6mn of contract assets. (2) A backlog figure and FY27 outlook with 4Q results, against $6.71bn FY27 revenue consensus. (3) Jupiter air-permit hearing (7 December) and any 4Q deliveries that need permits before a financier can buy.

## Pillar scorecard

| Pillar | Market assumed | Quarter showed | Verdict | Source |
|---|---|---|---|---|
| P1 Second-half ramp | FY26 near top of $3.9bn-$4.2bn; 3Q about $1.07bn | 3Q $1,235.8mn; guide raised to $4.4bn-$4.6bn | Confirmed | 8-K Ex.99.1 |
| P2 Margins | About 34% non-GAAP gross; $800mn-$900mn op. income | 34.5% gross without tariff help; op. income guide $960mn-$1,030mn | Confirmed | 8-K; 10-Q |
| P3 Order book for FY27 | Oracle, AEP/Google, Aligned, Brookfield support $6.71bn FY27 | No backlog figure; RPO $661.2mn (+49% QoQ); figure deferred to 4Q | Unresolved | 10-Q Note 3; call |
| P4 Financing model and cash | Financiers take delivery risk; profit becomes cash ($375mn+ OCF) | OCF -$27.1mn; contract assets +$430.3mn; sale to financier needs permits | Challenged | 8-K; 10-Q MD&A |
| P5 Capacity and supply | Factory additions pay back fast; scandium not a constraint | Capex $153.5mn; '5 gigawatt milestone' cited; supply 'sufficient' per 10-Q | Confirmed | Call; 10-Q |



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## Key KPIs

| Metric ($mn unless stated) | 3Q26 | 2Q26 | 3Q25 | QoQ / YoY | Trend |
|---|---|---|---|---|---|
| Revenue | 1,235.8 | 1,065.4 | 519.0 | +16% / +138% | [↑] |
| Product non-GAAP gross margin | 38.4% | 37.2% | 35.9% | +1.2pp / +2.5pp | [↑] |
| Operating cash flow | -27.1 | 226.4 | 19.7 | n.m. | [↓] |
| Free cash flow | -180.6 | 174.8 | 7.4 | n.m. | [↓] |
| Contract assets (total, period end) | 858.6 | 428.3 | 241.2 (Dec 25) | +$617.5mn 9M | [↓] |
| Customer deposits + deferred revenue | 754.4 | 445.0 | 143.8 (Dec 25) | +70% QoQ | [↑] |
| RPO, product and installation | 661.2 | 442.4 | 394.4 (Dec 25) | +49% QoQ | [↑] |
| Largest customer, % revenue | 43% | 73% | n.a. | -30pp | [↑] |
| Related party (Brookfield), % revenue | 26% | n.a. | n.a. | 9M: 23% | [?] |

## Guidance

| Metric | Guidance | vs. prior | vs. consensus |
|---|---|---|---|
| Revenue FY26 | $4.4bn-$4.6bn | Raised from $3.9bn-$4.2bn | Above ($4.12bn) |
| Non-GAAP gross margin | ~34% | Maintained | n.a. |
| Non-GAAP op. income | $960mn-$1,030mn | Raised from $800mn-$900mn | n.a. |
| Non-GAAP EPS | $3.10-$3.40 | Raised from $2.55-$2.85 | Above ($2.71) |
| Operating cash flow | No guide; '$375mn plus' baseline (2Q call) | Not repeated; CFO expects FCF positive | FY26 FCF $386mn (pre-print) |
| Backlog / FY27 | Not given | Deferred to 4Q | FY27 revenue $6.71bn |

## Top risks

• Working capital and cash conversion: OCF -$27.1mn; contract assets $858.6mn; growth funded on balance sheet

• Permit-linked revenue timing (Jupiter): 10-Q: generally cannot sell to a financier until permits are in hand; hearing 7 Dec

• Financier/related-party dependence: Brookfield 26% of revenue, $195.5mn related-party receivables

## Analyst focus (Trevor)

Analysts pressed on cash (Evercore, Oppenheimer) and capacity (JPMorgan, Baird); only cash got direct answers. Backlog was deferred to 4Q. Nobody asked about Jupiter or the Brookfield share.

## Monitoring and questions

**Tripwires:** A second negative OCF quarter; any FY26 revenue moved into 2027 for permit reasons; new equity or secured debt to fund working capital.

1. Backlog: will 4Q show firm 2027 orders in GW and $, covering more or less than half of $6.71bn FY27 consensus?
2. Contract assets (credit): what share of $858.6mn is owed by financing vehicles, and will you commit to FY26 OCF?
3. Permits (credit): how much of the implied 4Q needs permits not yet issued, and is any of it Jupiter?

## Read-through for Kona

Bloom's 10-Q makes explicit what the Jupiter story implied: financiers will not buy on-site power equipment until permits are in hand, and the supplier carries the working capital in between (contract assets up $430mn in one quarter). For Kona, the air permit and firm gas supply are financing conditions, not just construction steps, and should be in hand before equipment is ordered on credit. If Kona buys fuel cells or gensets, expect deposit-heavy terms (Bloom's customer deposits rose to $661mn from $78mn this year); if Kona sells power, Bloom's buyers show that a financier-owned, PPA-backed structure works only with a creditworthy offtaker.


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